From Bangkok to New Delhi: Thailand's 2027 Negative Income Tax as a Comparative Framework for India

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Executive Summary

Thailand's planned 2027 negative income tax (NIT)—designed to streamline existing welfare card schemes and fragmented state subsidies into a unified, tax-integrated framework—is significant not because it offers a perfect template for India, but because it demonstrates a serious policy direction: using a digital, tax-linked, and administratively integrated system to support low-income households without the inefficiencies of fragmented welfare programmes. In a world where many welfare systems still rely on costly, exclusion-prone targeting, Thailand's proposal is a useful example of how the state can move toward a more transparent and income-sensitive form of redistribution. India should not copy Thailand mechanically, but it should pay close attention to what the Thai experiment implies for building a more effective and rights-based social protection framework at home.

The central argument of this paper is that an NIT is one of the most promising instruments for delivering income support in a labour market where formal employment is limited, earnings are volatile, and household needs are uneven. The decisive challenge is not whether low-income households deserve support; it is whether the state can design a system that measures earnings credibly, delivers benefits efficiently, and preserves incentives to work. In economies with large informal sectors, the failure of policy is often not a lack of generosity, but a failure to build the administrative architecture needed to translate redistribution into agency, cash and inclusion.

India should not adopt the Thai model uncritically, but it should treat it as an instructive model for how to design a modern income-support system in a digitally enabled environment. The Thai case shows that NIT can be framed as a practical fiscal and social instrument rather than as an abstract utopian proposal. It also indicates that the design challenge is manageable when the state combines tax records, digital identity, payment infrastructure, and administrative coordination. India's task is not to imitate Bangkok's institutional setup, but to adapt the underlying principles to a more heterogeneous and federal setting with deeper informal labour dependence.

A credible Indian design would require at least three foundational reforms: first, a shift from crude gross cash-flow metrics toward presumptive net-income estimation; second, fiscal space created through subsidy rationalization and programme consolidation rather than deficit financing; and third, payment delivery through individual digital accounts rather than household-level accounts. These are not marginal technical choices. They are the conditions that determine whether an NIT becomes an instrument of empowerment or just another layer of administrative exclusion. Thailand's case is valuable because it shows that these design choices are not impossible. They are difficult, but they are feasible.

This paper argues that Thailand should be treated as an important comparative reference point and a policy proof of concept rather than a direct blueprint. It highlights the practical conditions under which an NIT can operate at scale, while also clarifying why India must adapt the model to its own administrative and political realities. The central policy question for India is not whether an NIT is desirable in principle, but how to build the data architecture, fiscal discipline, and delivery systems needed to make support fair, sustainable, and empowering in practice.

1. Why the Thai Model Matters

An NIT is a transfer mechanism that pays low-income individuals when their earnings fall below a threshold, with benefits tapering as income rises. Unlike a universal basic income (UBI), which is unconditional, an NIT is targeted and income-linked. That makes it more administratively demanding, but also more politically and fiscally defensible. It is a transfer system designed around actual income needs rather than a broad entitlement that may be fiscally inefficient or under-targeted.

This is why Thailand's planned 2027 framework warrants close attention. By moving to consolidate legacy social assistance (such as state welfare registration cards and old-age allowances) into a single tax-integrated negative income tax, Thailand is attempting to bridge the gap between fiscal policy and social protection. In countries with large informal sectors, the decisive issue is not whether the idea of income support is attractive on paper, but whether the state can credibly identify eligible individuals, assess earnings with sufficient regularity, and transfer money efficiently to the person whose income is being evaluated. Thailand's case is valuable because it shows that a government can approach this challenge seriously through digital infrastructure, tax integration, and administrative coordination. It does not necessarily mean the system is perfect, but it does suggest that an NIT is not a theoretical concept disconnected from real-world administration.

For India, the Thai case is particularly relevant as a comparative reference point. Thailand operates under a comparatively centralized fiscal and administrative structure, while India has a more fragmented federal context. India's policy challenge is therefore not to duplicate Bangkok's administrative architecture, but to learn from the fact that an NIT can be organised as a coherent fiscal instrument even in a large, complex economy. The state's challenge in India is not whether to invent a new welfare model from scratch, but whether to build an income-support system that can work in a setting marked by high informality, regional variation, and administrative heterogeneity.

At the same time, Thailand's model is useful precisely because it demonstrates that digital administrative reform can make redistribution more effective, not merely more efficient. Digital onboarding, tax data matching, account-based transfers, and programme integration can reduce leakage, simplify enrolment, and ensure that assistance reaches the intended beneficiaries more reliably than in fragmented welfare structures. A policy system that uses digital verification to reduce administrative error and improve transparency is not merely a technological innovation; it is a step toward a more accountable social state.

2. The Central Design Problem: Measuring Income in an Informal Economy

The central challenge in any NIT is not ideology but measurement. Formal workers can often be verified through payroll records, tax filings, provident fund contributions, or social insurance records. Informal workers are far less visible. They may work in self-employment, agriculture, domestic work, gig work, small enterprise, retail, transport, construction, or family-based livelihoods where income is intermittent, non-standardised, and difficult to validate.

This is where many welfare systems fail: they confuse visibility with validity. Gross transaction flows—UPI turnover, GST turnover, digital wallet inflows, business account credits, or e-commerce sales—are not equivalent to net income. A worker may receive substantial sums into a digital account while simultaneously bearing significant costs: business expenditures, household support transfers, personal consumption, or cash withdrawals. In income terms, turnover is not the same as earnings. If the state mistakes gross cash movement for income, it creates false positives, misclassification, and administrative exclusion.

India's challenge is therefore not simply a data problem; it is a measurement problem. A credible NIT requires a shift away from crude cash-flow metrics toward presumptive net-income estimation. That means distinguishing between: - business turnover and actual profit; - personal consumption and business expense; - cash inflows and retained earnings; - household transactions and individual labour income.

Operationalizing this without drowning informal workers in bureaucratic red tape requires leveraging existing administrative footprints—such as micro-enterprise registries (e.g., PM-SVANidhi), worker databases (e.g., e-Shram), and localized expenditure baselines—rather than inventing a verification apparatus from scratch. A useful system would incorporate income signals from multiple sources, combining tax records, digital payment data, state welfare databases, and periodic self-declaration, without treating any single source as definitive. The state should be able to infer not only whether income exists, but whether it is sufficient to meet a household's basic needs.

This is essential because an NIT is not merely a transfer attached to a database. It is a statistical and administrative system that determines eligibility, calculates support, and shapes labour incentives. When designed properly, it can make the welfare state more precise and more humane. The key is not to reject digital systems because they are imperfect, but to use them in ways that recognise the realities of informal livelihoods rather than pretending that visibility equals welfare.

3. Why Informality Should Not Be Used as an Excuse to Avoid NIT

The problem of informality is often presented as a reason to reject NIT. In reality, it is precisely the reason to adopt it in a more intelligent form. Informality means that many households are excluded from conventional social protection systems because they lack stable payrolls, formal contracts, or regular taxable income. A well-designed NIT is not a reward for formalisation; it is a recognition that workers in volatile, seasonal, and irregular labour markets still need income support. It offers a means of reaching those who are currently invisible to the formal welfare architecture.

For households that rely on wages, informal trade, agriculture, domestic work, or small enterprise, the welfare state often fails not because the households are undeserving, but because the system lacks the tools to recognise their earning realities. An NIT can solve this problem if it is designed around income thresholds, taper rates, and review mechanisms rather than around static eligibility lists. It can also be integrated with existing state programmes, avoiding the false choice between universal transfers and narrow, exclusionary targeting.

This points to an essential principle: in an informal economy, welfare design cannot rely on digital traceability alone as a proxy for income sufficiency. But it also does not follow that income support is impossible. The more realistic proposition is that the state should use presumptive methods, periodic self-certification, and administrative correction mechanisms to approximate need without making the system unusable. In other words, informality is not a reason to abandon NIT; it is a reason to design it better.

4. Fiscal Sustainability: NIT Can Be Built Through Reallocation, Not Deficit Dependence

An NIT is not fiscally neutral. If implemented at scale, it will generate a substantial budgetary commitment. In India, where tax capacity is relatively limited and public spending is already strained across health, education, food security, agriculture, and rural support, a deficit-funded NIT would be fiscally unstable and politically difficult to sustain.

But this does not mean that the idea should be rejected. It means that the programme must be designed as part of a coherent fiscal reform. India should identify overlapping, leaky, or poorly targeted expenditures—particularly in regressive fertilizer subsidies, duplicative welfare transfers, inefficient food and input support, and fragmented delivery systems—and redirect part of that spending toward direct income support. This is not a proposal to abandon social protection or nutritional floors. It is a call to rationalize the existing architecture, reduce leakage, and improve targeting.

Admittedly, dismantling entrenched in-kind and input subsidies is a formidable political economy challenge, often resisted by organized interest groups. However, sequencing this reform carefully—such as phasing out inefficient subsidies in tandem with the rollout of direct income guarantees—can build political buy-in by demonstrating clear, transparent gains to households.

This distinction matters. Food security, nutrition support, child protection, and other in-kind programmes remain essential for social protection. But a serious NIT cannot be built by layering new transfers on top of an already fragmented and often duplicative welfare system. A credible income-support reform requires fiscal coherence: transparent beneficiary rules, clear programme responsibilities, and a transition strategy that does not cause abrupt disruption to vulnerable households.

The key fiscal question is not whether India should spend more on low-income households; it is whether it can spend more efficiently. A deficit-funded NIT may create the appearance of generosity while weakening the state's underlying fiscal position. A rationalized NIT framework, by contrast, can improve targeting, reduce duplication, and align social policy with a clearer principle of redistribution. This is precisely where Thailand's example is useful: it shows that a government can treat NIT not as an uncontrolled fiscal commitment but as a strategic instrument of administrative and social reform.

5. Individual Agency: Benefits Must Reach the Person, Not the Household

A crucial design issue in any income-support system is whether transfers are assessed and delivered at the household level or the individual level. Household-based targeting is administratively simpler, but it assumes that household income is pooled and distributed in ways that reflect the actual economic contribution of each member. In reality, this is often not the case.

This matters especially in India. Women in informal work, domestic labour, agriculture, and small enterprise often remain undercounted in formal income data and frequently lack independent financial control. A household-based NIT risks reproducing the same intra-household asymmetries it claims to overcome. It may also intensify the invisibility of women's labour if eligibility depends mainly on household-level records rather than the individual's own earnings and agency.

For this reason, a robust NIT should be designed around individual identification and individual payment accounts, not around household-level nodes that can intercept or redirect funds. This does not mean every beneficiary should be treated as a decontextualized individual detached from family arrangements. It means that the transfer should be attached to the person whose labour and income are being assessed. That is essential for both economic agency and political legitimacy.

This makes digital financial inclusion central to policy design rather than a peripheral banking issue. Individual digital accounts, women-centric financial access, and secure identity systems can expand agency—if the programme architecture is designed explicitly to protect it. In this sense, NIT is not merely a transfer; it is an institution that can strengthen personal claim-making, bargaining power, and economic autonomy. Thailand's approach is relevant here because it reflects the strategic value of integrating digital payment systems into the social protection architecture.

6. Federalism: India Can Build a National NIT Without Copying Thailand

Thailand's administrative environment is in some ways more centralized than India's, which gives it advantages in implementing a national welfare programme. India is a federal democracy with substantial variation in fiscal capacity, administrative efficiency, and programme implementation across states. State governments differ in their ability to verify households, maintain welfare databases, deliver payments, and support digital infrastructure.

This means India cannot simply copy Thailand's administrative logic. It must adapt it to a federal framework. A national NIT must rely on cooperative federalism: shared data standards, common eligibility rules, direct fiscal transfers, and co-financing mechanisms such as matching grants. Lower-capacity states should not be expected to absorb the full administrative burden of beneficiary determination and payment management.

The wider lesson from Thailand is not that centralization is inherently superior, but that administrative coherence matters. India needs coherence, but under a federal structure. Without it, the policy risks becoming uneven, politically contested, and fiscally distorted. Data-sharing across tax authorities, state welfare databases, land and housing records, and social protection registries must be standardized and interoperable to reduce inconsistency. If India can achieve this level of administrative coordination, it can build a national system that is not only redistributive but also predictable and transparent.

This matters for accountability. If a national NIT is designed without clear fiscal and administrative responsibilities across the Centre and the states, disputes will likely arise over cost-sharing, beneficiary determination, compliance, and appeals. A well-designed federal mechanism would align incentives and reduce the tendency for states to selectively implement or distort the programme according to political priorities. In this sense, the Indian task is not to copy Thailand; it is to build the cooperative institutions required to translate NIT from an idea into a functioning national policy.

7. Work Incentives: NIT Should Strengthen, Not Undermine, Labour Supply

A well-designed NIT must avoid steep withdrawal rates that discourage work. If benefits vanish too quickly as earnings rise, low-income workers may face a poverty trap in which additional labour yields little or no net gain. This is especially relevant in India, where income is often irregular, seasonal, and informal, and where many workers transition between low-paid work, self-employment, and unemployment.

The benefit schedule should therefore include a gradual taper that preserves incentives to work while still targeting support to those below the threshold. The NIT should support transitions into better-paying work, formalization, or higher productivity activity—not penalize them. In a labour market where earnings are volatile and often cyclical, a gradual taper can prevent households from being caught between weak wages and benefit loss.

This is not merely a technical adjustment. It is a core design principle. Any NIT that is phased out too abruptly will create a cliff effect, where households lose support just as they begin to improve their economic position. That can discourage labour supply, induce underreporting, and reduce the credibility of the programme. A more credible system would define a smooth benefit function that balances targeting with work incentives. This is one of the most compelling arguments for NIT: it can protect income floors without trapping workers in dependency.

8. A More Realistic Policy Architecture for India

The Thai case suggests several principles that can guide Indian policy design, but it does not provide a simple blueprint. A workable Indian NIT would need to be grounded in institutional realism.

1. **Estimate income presumptively, not by gross transaction volume alone.**
   A beneficiary should not be treated as poor simply because digital inflows are low or irregular. Eligibility should be based on a more reliable estimate of net earnings—drawing on micro-enterprise registries and standardized expenditure baselines—after allowing for business costs and informal livelihood realities.

2. **Create fiscal space through restructuring rather than deficit expansion.**
   The state should identify inefficient or duplicative spending (such as regressive input subsidies) and reallocate resources toward income support via careful political sequencing. This is more sustainable than a permanent deficit-funded transfer scheme.

3. **Deliver benefits to individuals, not only to households.**
   The transfer should be linked to the person whose income is being evaluated and should be routed through individual digital accounts where feasible to protect intra-household agency.

4. **Build a federal implementation model.**
   Cooperation between the Centre and states is essential through cooperative federalism. Shared data rules, co-financing, and standardized digital systems would reduce inconsistency and improve accountability.

5. **Protect work incentives.**
   Benefits should taper gradually via a smooth benefit function, allowing individuals to retain gains from higher earnings without facing poverty traps.

6. **Ensure regular review and correction.**
   Because informal income is difficult to verify, any NIT must provide for periodic reassessment, appeals, and grievance redress.

These principles together create a policy framework that is more realistic than a pure cash-transfer model and more administratively coherent than a fragmented welfare patchwork. They also show why an NIT should be treated not as a simple welfare add-on, but as a serious redesign of how income support is measured, financed, and delivered in an informal economy.

Conclusion

The value of the Thai case for India is not that it offers a finished policy solution. It is that it clarifies the core challenge of income support in informal economies: without credible income measurement, sustainable financing, and individual delivery, a cash-transfer scheme becomes either exclusionary or fiscally unstable. Thailand's approach—integrating legacy cards into a tax-linked system—is therefore best understood as a comparative proof of concept and a design test. It is not a model to copy in advance of implementation, and it certainly is not a reason to dismiss the NIT idea altogether.

For India, the task is harder but more important. The country cannot simply transplant a model built for a more centralized and administratively coherent state. It must construct a version of NIT that matches its own institutional realities: fragmented welfare systems, significant variation in state capacity, substantial informal employment, and a need to protect the economic agency of individuals, especially women and workers outside the formal labour market. But this should not be interpreted as a reason for caution alone. It is also a reason for ambition. If India can build a system that measures income realistically, finances support sustainably, and delivers benefits to the person most affected by the policy, then NIT could become one of the most powerful tools in the country's social protection architecture.

The lesson, then, is not a simple rejection of NIT. It is a stronger recognition that any serious social policy for low-income earning households in a highly informal economy must be built around the realities of measurement, fiscal constraints, and distributional fairness. If India wants an effective income-support system, it must design for those realities—not for a stylized model of formal labour markets. In that sense, the Thai example is not a pretext for caution; it is a guide for building a better, more realistic Indian NIT.

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